(14) (15) & (16)

IN THE NATIONAL COMPANY LAW TRIBUNAL, SPECIAL BENCH - I, CHENNAI

(Filed under Sections 230 to 232 of the Companies Act, 2013)

In the matter of *Scheme of Arrangement (Demerger)*

Between

CP(CAA)/39/(CHE)/2022 in CA(CAA)/121/(CHE) /2021

KG INFORMATION SYSTEMS PRIVATE LIMITED
CIN NO: U72200TZ1994PTC005317
KGISL CAMPUS, 365, THUDIYALUR ROAD,
SARAVANAMPATTI, COIMBATORE – 641 035

...Demerged Company

Along with

CP(CAA)/43/(CHE)/2022 in CA(CAA)02/CHE/2022

KGISL TECHNOLOGIES PRIVATE LIMITED
CIN NO: U72200TZ2021PTC036903
SF.NO.365, THUDIYALUR ROAD,
SARAVANAMPATTI, COIMBATORE – 641 035

... Resulting Company-1

Along with

CP(CAA)/42/(CHE)/2022 in CA(CAA)01/CHE/2022

KG INVICTA SERVICES PRIVATE LIMITED
CIN NO: U74999TZ2021PTC036907
SF.NO.365, THUDIYALUR ROAD,
SARAVANAMPATTI, COIMBATORE – 641 035

... Resulting Company-2

And

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

*Order Pronounced on **29th June 2022***

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Justice (Retd) S.RAMATHILAGAM, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): Vidhya Shankar, Advocate

COMMON ORDER

Per: **Justice (Retd.) S. RAMATHILAGAM, MEMBER (JUDICIAL)**

Under consideration are three Company Petition filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Arrangement, as contemplated between the Petitioner Companies viz. **KG INFORMATION SYSTEMS PRIVATE LIMITED** (for brevity "Demerged Company") and **KGISL TECHNOLOGIES PRIVATE LIMITED** (for brevity "Resulting Company – 1") **KG INVICTA SERVICES PRIVATE LIMITED** (for brevity "Resulting Company – 2") and their respective shareholders and creditors under Section 230 to 232 and other applicable provisions of the Companies Act, 2013(hereinafter 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereinafter 'the Rules') pursuant to the Scheme of Arrangement (hereinafter the 'SCHEME') proposed between the Companies and the said Scheme is also annexed at "Exhibit P6" to the typed set filed along with the application in CP/CAA/39/CHE/2022, CP/CAA/42 /CHE/2022 & CP/CAA/43 /CHE/2022

2. The Registered office address of the Demerged Company is situated at Coimbatore, Tamil Nadu and falls within the jurisdiction of NCLT Chennai Bench. The Demerged Company had filed a company application bearing CA/CAA/121/CHE/2021, CA/CAA/02/CHE/2022 and CA/CAA/01/CHE/2022 before the NCLT, Chennai Bench and directions were issued vide order dated 16.02.2022.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Demerged Company had filed its First Motion Application vide CA/CAA/121/CHE/2021, CA/CAA/02/CHE/2022 and CA/CAA/01/CHE/2022 seeking directions for dispensation of meeting of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the Demerged Company and seeking dispensation of meeting of the Equity Shareholders and Preference Shareholders of the Resulting Company 1 & 2 and the same was ordered by this Tribunal dated 16.02.2022.

3.2 Subsequent to the said order, the Demerged Company has filed the present Petition before this Tribunal on 02.03.2022 for sanction of the Scheme of Arrangement by this Tribunal.

4. RATIONALE OF THE SCHEME

4.1. The Rationale and benefits of the Scheme as submitted by the Learned Counsel for the Petitioner Companies would *inter alia* result in the following benefit;

a) The nature of focus for Business & growth strategies, risk mitigation strategies agent bandwidth, etc., required for operating a Unit focused on global IT products, solutions, and services provider in the Banking, Financial Services and insurance sector, as opposed to a Unit focused on providing customer contact management services & solutions in business process outsourcing sector are very rent. Each of the activities carried out by the unit is distinct and diverse in its business characteristics, growth opportunities, investment requirements, risk profiles and require entirely different approaches. It is now felt, after intense deliberations that in order to mitigate the above challenges, the business of each distinct Undertaking should be restructured with an aim to create long term shareholder value.

b) The demerger will permit increased focus in each of the Demerged Undertakings in their respective businesses in order to better meet their respective customers' needs and priorities eliminating thereby any perceived conflict of interest among customers develop their own network of alliances and talent models that are critical to their own

c) The demerger would provide scope for independent focus and expansion without committing the organization in entirety. The demerger would provide more focussed

management and greater visibility on the performance of individual businesses

d) It is believed that the proposed demerger will create enhanced value for the shareholders and allow a focused strategy in operations which would be in the best rest of all stake holders. The Demerger results in realignment and consolidation of its business in efficient manner and building strong capability to effectively meet future challenges in competitive business environment

e) The demerger would result in issuance of shares to the shareholders of the Deranged Company in consideration of demerger on a proportionate basis, thereby, resulting in locking and maximizing shareholder value.

f) The demerger will lead to increased competitive strength, cost reduction and efficiencies, productivity gains by pooling the financial, managerial and technical resources, personal capabilities, skills, expertise and technologies thereby significantly contributing to future growth.

g) Taking the above background into consideration, the Board of the Demerged Company and the Resulting Companies consider that it would be advantageous to demerge the Demerged Undertaking I and Demerged Undertaking II, into a separate entities.

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 30.03.2022 has directed the Resulting Company to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC,

Coimbatore, and (iii) Assistant Commissioner of Income Tax, Corporate Circle I, Coimbatore and other sectoral regulators, who may govern the working of the respective companies in relation to the Scheme, as well as for paper publication to be made in *"The Hindu",* English (All India Edition) and *"Dina Thanthi"* Tamil (Tamil Nadu Edition).

6. In compliance to the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service before the Registry of this Tribunal and a perusal of the same discloses that the Demerged Company has effected paper publication as directed by the Tribunal in *"The Hindu"* (All India Edition) in English and *"Dina Thanthi"* (Tamil Nadu Edition) in Tamil on 11.05.2022. It is also seen that notices have been also served to (i) The Regional Director, Southern Region on 08.04.2022 (ii) Registrar of Companies Chennai on 07.04.2022 (iii) Assistant Commissioner of Income Tax, Corporate Circle I, Coimbatore on 07.04.2022. Pursuant to the service of notice of the petition the following statutory authorities have responded as below;

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director, Southern Region *(hereinafter referred to as 'RD')* to whom the notice was issued in the first

motion, has filed his Report before this Tribunal and has stated that clause 5.4 of Part V of the Scheme provides for the protection of the interest of the employees of the Demerged Company. All staff and employees of the Demerged Company, in service on the effective date, shall be deemed to have become permanent employees of the Resulting Company-1 & 2, with effect from the Effective Date, without any break in their service and other benefits.

7.2. Further at para 9, the RD has observed that Clause 8.7 of Part IX of the Scheme the Resulting Company-1 & 2 shall issue and allot to the shareholders of Demerged Company (a) 95 fully paid-up equity shares of Rs.10 each in the Resulting Company-1 for every 1000 fully paid up equity share of Rs.10 each held in the Demerged Company and (b) 185 fully paid-up equity shares of Rs.10 each in the Resulting Company-2 for every 1000 fully paid up equity share of Rs.10 each held in the Demerged Company as Consideration upon the effectiveness of the Scheme of Arrangement (Demerger).

7.3. It is also stated in Para 11 of the RD Report, Chennai, both the Demerged and Resulting Company are regular in filing the statutory returns and there is no prosecution filed, no complaints pending and no inspection /

investigation has been ordered / pending against the companies involved in the scheme of Arrangement(Demerger).

7.4. Thus, after examining the Scheme, except the observations as extracted *supra*, the Regional Director in their Report has stated that they have decided not to make any objection to the Scheme.

7.5. Despite notice having been served, there is no representation from the Department of Income Tax and this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

7.6. In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of

declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

8. VALUATION REPORT

8.1. The Learned Counsel for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from one Anand Krishnakumar, Registered Valuer dated 31.10.2021, wherein it has been recommended by the Registered Valuer as follows:

- 1,26,350 (One hundred and twenty six thousand, three hundred and fifty) Equity Shares having face value of INR 10/- each of KGISL Technologies Private Limited to be issued to the equity shareholders of KG Information Systems Private Limited which shall be issued and allotted on a proportionate basis for 1,330,000 (One million, three hundred and thirty thousand) fully paid-up equity shares in KG Information Systems Private Limited.

- 2,46,050 (Two hundred and forty six thousand and fifty) Equity Shares having face value of INR 10/- each of KG Invicta Services Private Limited to be issued to the equity shareholders of KG Information Systems Private Limited which shall be issued and allotted on a

proportionate basis for 13,30,000 (One million, three hundred and thirty thousand) fully paid-up equity shares in KG Information Systems Private Limited.

9. ACCOUNTING TREATMENT

9.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of Demerged Company is placed at pages 239 to the typed set filed along with the petition and for the Resulting Company-1 & Resulting Company-2 is placed at 194 to 195 & 178 to the typed set filed along with the respective petition.

10. OBSERVATIONS OF THIS TRIBUNAL

10.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way

detrimental to the interest of the shareholders of the Company. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as Exhibit "P6" along with CP/39, 42 & 43/CAA/2022.

10.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Demerged Company or Resulting Company under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

10.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

10.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way

granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

11. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, rights and powers of Demerged undertaking be transferred without further act or deed to the Resulting Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 be transferred to and vested in the Resulting Company for all intents, purposes and interest of the Demerged undertaking subject nevertheless to all changes now affecting the same; and

(ii) That all the liabilities, (if any) and powers, engagements, obligations and duties of the Demerged undertaking shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Resulting Company and accordingly the same become the liabilities and duties of the Resulting Company; and

(iii) That all proceedings now pending by or against the Demerged undertaking shall be continued by or against the Resulting Company; and

(iv) That all the services of all the employees of the Demerged Company employed in the Demerged undertaking shall stand transferred to the Resulting Company on the same terms and conditions at which these employees are engaged by the Demerged Company without any interruption of service as a result of the transfer; and

(v) That the Resulting Company do without further application allot to such members of the Demerged Company, as have not given such notice of dissent, as is required by Part IX of the SCHEME herein the shares in the Resulting Company-1 & 2 to which they are entitled under the said SCHEME.

(vi) That the Resulting Company shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Resulting Company after setting off the fees paid by the Demerged Company.

(vii) That the Appointed date for the Scheme shall be **01.10.2021** as mentioned in clause 3.2 of Part III of the SCHEME itself. That the Effective Date shall be the last date on which certified copies of the order(s) of NCLT sanctioning the Scheme are filed with the Registrar of Companies, Coimbatore as mentioned in clause 3.8 of Part III of the SCHEME itself.

(viii) That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged undertaking shall be deemed to be transferred; and

(ix) That any person interested in the Scheme, shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

12. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

-SD-

SAMEER KAKAR
MEMBER (TECHNICAL)

-SD-

Justice (Retd) S.RAMATHILAGAM
MEMBER (JUDICIAL)

Sriram Ananth.V